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# Monthly Gold Monitor

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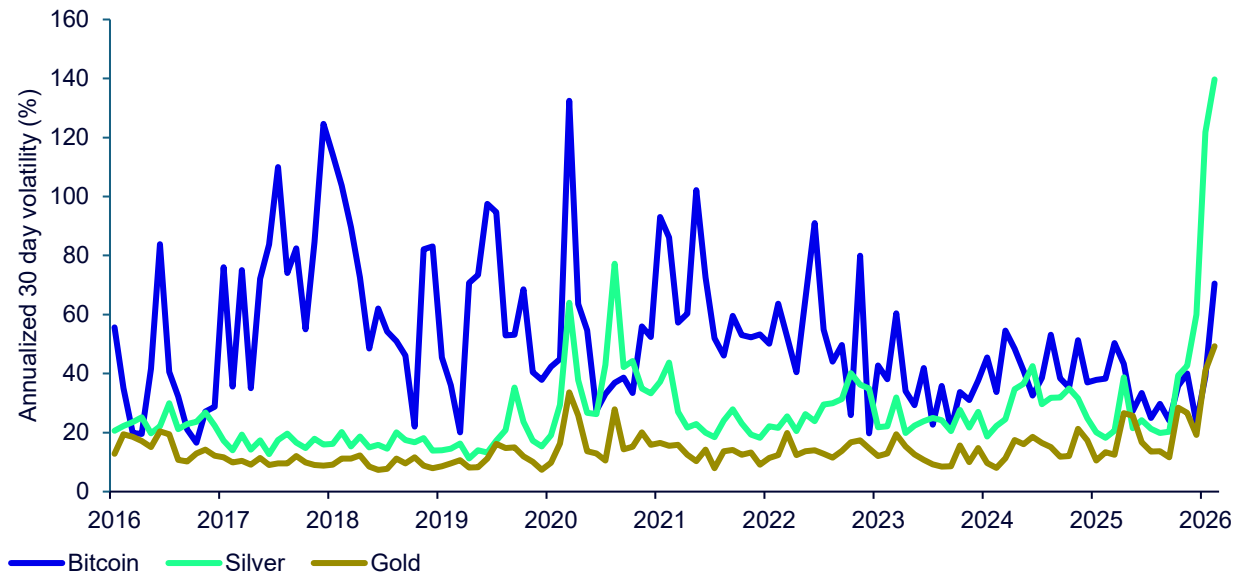
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## Geopolitics and global macro backdrop remain supportive

- Geopolitical heat in the Middle East has returned to the fore, prompting what could be at least a [temporary oil price spike](#) and a safe haven bid across macro markets, including both the USD and gold. With the petroleum complex a key driver of headline CPI and a major input into PPI, widening US breakevens have put some upward pressure on US Treasury yields in early March.
- Spot gold prices increased 7.9% in February to above US\$5,250/oz. This compared to a 10.1% jump in silver, 14.7% decline in bitcoin, and 1.1% flat price returns for commodities.<sup>1</sup> On a risk-adjusted basis, gold outperformed silver, bitcoin, and the S&P 500 for a second straight month.<sup>2</sup> Bullion markets could re-test US\$5,500-5,600/oz in March if the conflict in Iran escalates.
- US listed gold ETFs posted net inflows of US\$4.5B in February bringing the 2026 YTD cumulative figure to US\$10.5B, up from US\$6.3B during the first two months of 2025.<sup>3</sup> As we highlighted last month, global gold fund assets as a share of worldwide ETF and mutual fund assets ended 2025 just below 1.0%, despite a ~65% annual return for the yellow metal.<sup>4</sup> We believe gold remains an under-owned portfolio asset with significant room for both tactical and strategic holdings to expand through 2026.
- The US dollar remains weaker YTD but was largely unchanged in February and is rallying in early March. Wall Street consensus is still bearish the greenback<sup>5</sup> which can support bullion and precious metals prices through denomination effects. Year-to-date, gold is outperforming in USD terms, particularly versus some of the higher beta crosses (AUD, NOK, NZD). G10 FX implied vols which ticked higher in January were sanguine in February but could richen in March.<sup>6</sup>
- The opportunity cost of holding gold, as a non-interest-bearing commodity, continued to decline in February. Real yields across the belly of the US curve dropped sharply with 5-year TIPS testing 1.0% and at their lowest levels since late 2022.<sup>7</sup> US Treasuries rallied across tenors in recent weeks as STIR traders have firmed up pricing for a July cut and about 57 basis points of cumulative Fed easing for 2026.<sup>8</sup>
- Our gold price outlook continues to lean bullish. Our base case of US\$4,750-5,500/oz (50% probability) is coupled with a bull case target range of US\$5,500-6,250 (35% probability). We see very strong price support in the US\$4,400-4,600/oz area and maintain a bear case projection of US\$4,000-4,750 (15% probability).

## Chart of the Month: Gold is a ‘low volatility’ asset compared to bitcoin and silver

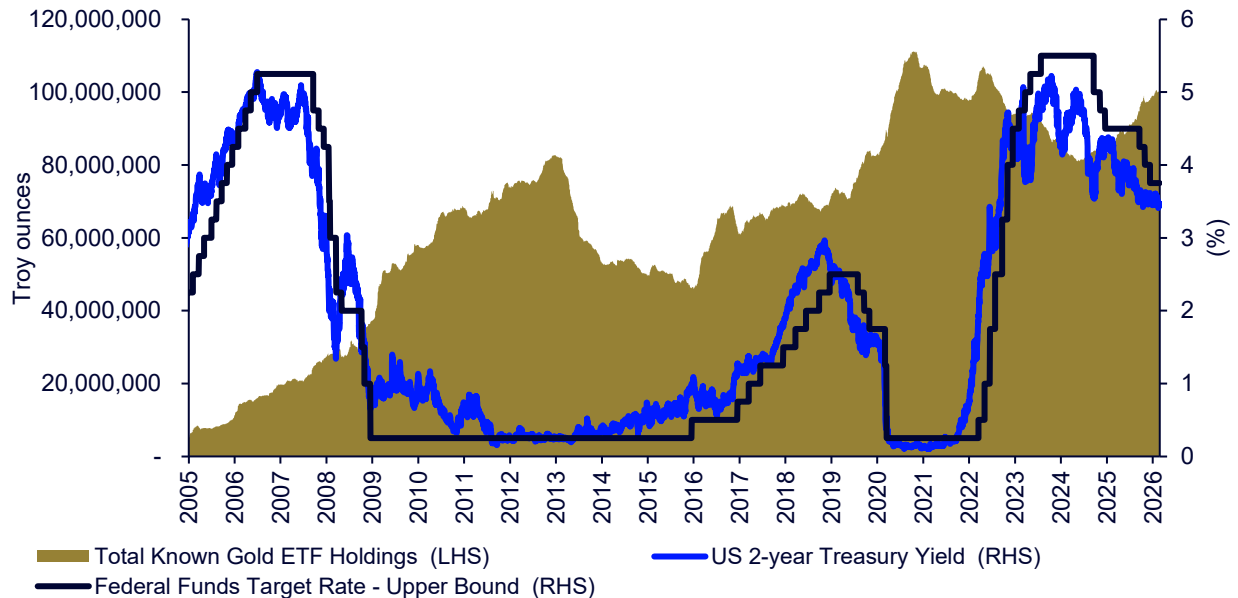


Source: Bloomberg Financial L.P., State Street Investment Management (January 2016-February 2026). Note: Data show realized 30-day price volatility (annualized) in a rolling time series.

## Mind the price volatility gap when considering your alternative-fiat exposure

- The global debasement trade gained momentum in 2025 and boosted retail and institutional allocations across bitcoin, silver, and gold markets. But these alternative-fiat assets are not substitutes, especially when considering historical price volatility and drawdowns. Investors seeking to hedge currency depreciation risks or potential declines in purchasing power might want to ask: “Am I getting exposure to a low(er) volatility alt-fiat reserve asset or is this a high(er) volatility speculative asset?”.
- Rolling 30-day volatility data over the trailing 10-years show bitcoin is a ~52.0 vol asset, silver is a ~25.1 vol asset, and gold is a ~13.6 vol asset.<sup>9</sup> In short, bitcoin prices have been about 4x more volatile than gold prices and silver prices nearly 2x more volatile than gold prices over the past decade. Notably, during this same period, gold prices have been less volatile than the S&P 500 by some ~1.5 volatility points (while bitcoin and silver continue to realize higher volatility and show a stronger beta to US equity markets).<sup>10</sup> Large drawdowns are consistent with historical volatility patterns. From January 2016-February 2026, bitcoin has posted monthly losses greater than 8% on 30 occasions, while silver had 9 such sizable monthly drawdowns and gold only one time in November 2016 after the US elections.<sup>11</sup>
- Though average monthly bullion market returns since 2016 have lagged bitcoin and silver, gold’s financial liquidity, diversification properties, and relative price stability are key considerations for investors seeking exposure to alternative-fiat. Importantly, major EM central banks also buy gold—not bitcoin or silver—as part of their own reserve diversification strategies. Taken together, gold may be viewed as a dynamic left tail portfolio hedge. While some alt-fiat attributes cross over to bitcoin and silver, those two underliers appear to us to be high(er) volatility right tail assets. Indeed, even with the price volatility spike across alt-fiat markets in 2026, gold has been less volatile and more stable than its alt-fiat counterparts.

**Figure 2: When front-end yields fall, gold ETF demand tends to rise**

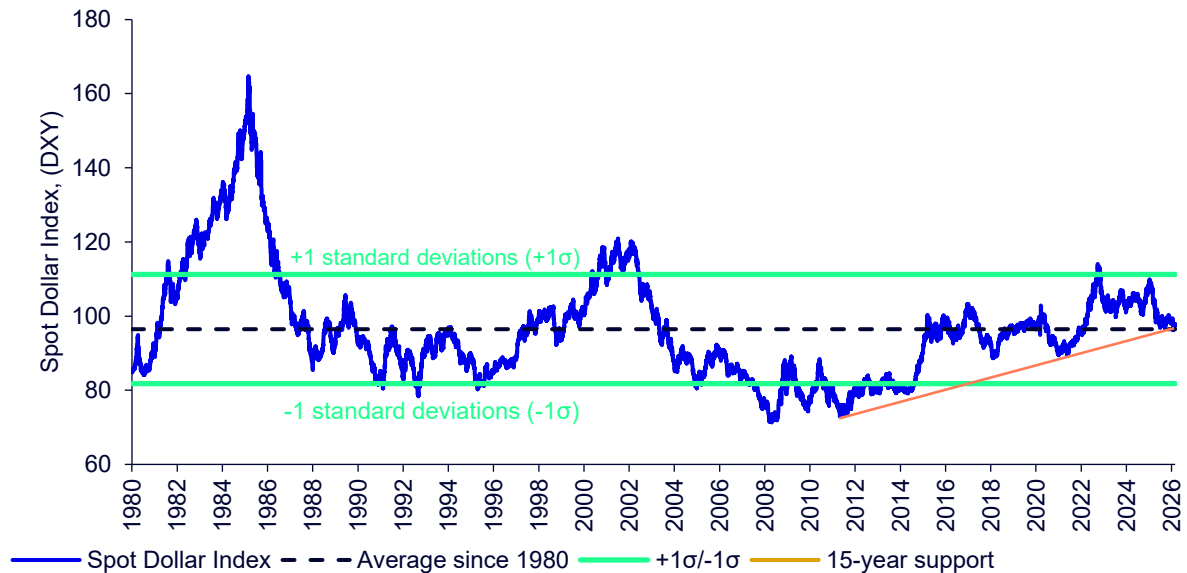


Source: Bloomberg Financial L.P., State Street Investment Management. Data as of February 28, 2026.

## How Fed leadership clarity and yield signals are reshaping gold ETF demand

- The policy-uncertainty channel highlighted in our note on [how gold hedges policy uncertainty when Fed leadership changes](#) seems to be playing out. With Kevin Warsh slated to be the next chair of the Federal Reserve, markets are reassessing the US monetary framework ahead. Warsh has consistently argued that the Fed should “set aside central-bank fast food<sup>12</sup>” – avoiding overreliance on short-term data surprises, excessive forward guidance, and tactical messaging – in favor of clearer mandates and disciplined policy execution. His previous emphasis on credibility, restrained intervention, and data humility may reinforce the market’s tendency to price a slower-growth, lower-inflation backdrop, which historically aligns with declining front-end yields and increased demand for real asset hedges, like gold.
- Since the announcement of the new Fed chair on January 30, 2026, the US 2-year yield has dropped around 12-15 bps while the gap between the 2-year yield and the upper bound of the Federal Reserve policy rate has started to widen again<sup>13</sup> (possibly suggesting positioning is already shifting toward an early-easing narrative). Should the front-end continue to decline, short-rate volatility may compress, creating a potential opportunity for investors to rotate into assets with positive convexity to falling real and nominal yields, such as gold-backed ETFs.
- Falling front-end yields have historically coincided with strong inflows into gold-backed ETFs. As shown on the chart above, the Bloomberg proxy of total known gold ETF holdings have tended to rise when US 2-year yields decline. If the 2026 easing trajectory becomes more firmly priced, a familiar feedback loop could re-emerge: Lower expected real rates → higher gold ETF holdings → tighter physical markets → upward pressure on gold prices.

**Figure 3: The US dollar is testing key long-term support levels**



Source: Bloomberg Financial L.P., State Street Investment Management. Data as of February 28, 2026. Note: US Dollar represented by Spot Dollar Index. **The performance data quoted represents past performance. Past performance does not guarantee future results.**

### **A structurally weaker US dollar trend can keep favoring gold**

- The greenback ended 2025 with its steepest annual decline since 2017, down ~9.4% for the ninth largest drop since the US exited the gold standard in 1971.<sup>14</sup> That USD depreciation was a key driver of gold's strength in 2025, reflecting the long-standing inverse relationship between gold and the US dollar driven by dollar-denominated pricing. The USD subsequently slid to a four-year low in late January and is now testing both its long-term average since 1980 and a 15-year trend line.<sup>15</sup> Though the US dollar has caught a safe haven bid in March, a decisive break below key levels could signal a structurally weaker dollar regime, historically a supportive backdrop for sustained gold demand.
- The expanded use of financial sanctions has accelerated diversification away from the dollar and into gold, with the US dollar's share of global FX reserves falling to its lowest level since 1994 (~40%), while gold's share has risen to its highest since 1991 (~30%).<sup>16</sup> As of year-end 2025, USD reserves are down ~12% y/y versus gold reserves up ~40% y/y.<sup>17</sup>
- While the US dollar found some stabilizing support and caught up with G7 rate differentials after a brief decoupling in late January, the broader bias remains to the downside.<sup>18</sup> A confluence of a steep US Treasury curve, wider US fiscal deficits, and heightened foreign/trade policy uncertainty have tilted the macro backdrop against the US dollar, with growing implications for international appetite for US sovereign debt. Consensus estimates point to roughly a further ~3% decline in the dollar through 2026,<sup>19</sup> underscoring that consensus risks, for the time being, remain skewed toward renewed dollar weakness rather than a durable safe-haven rebound.

## Footnotes

1 Source: Bloomberg Financial L.P., SSIM, as of 02/27/2026

2 Source: Bloomberg Financial L.P., SSIM, as of 02/27/2026

3 Source: World Gold Council, SSIM, as of 02/28/2026

4 Source: Morningstar, World Gold Council, State Street Investment Management, as of 12/31/2025

5 Source: Bloomberg Financial L.P., SSIM, as of 02/27/2026

6 Source: Bloomberg Financial L.P., SSIM, as of 02/27/2026

7 Source: Bloomberg Financial L.P., SSIM, as of 02/27/2026

8 Source: Bloomberg Financial L.P., SSIM, as of 02/27/2026

9 Source: Bloomberg Financial L.P., SSIM, as of 12/31/2025

10 Source: Bloomberg Financial L.P., SSIM, as of 12/31/2025

11 Source: Bloomberg Financial L.P., SSIM, as of 02/27/2026

12 Source: Remarks by Kevin Warsh – Commanding Heights: Central Bank at a Crossroads IMF Lecture Hosted by G30, as of 04/25/2025

13 Source: Bloomberg Financial L.P., SSIM, as of 12/31/2025

14 Source: Bloomberg Financial L.P., SSIM, as of 12/31/2025

15 Source: Bloomberg Financial L.P., SSIM, as of 02/27/2026

16 Source: Bloomberg Financial L.P., SSIM, as of 02/27/2026

17 Source: Bloomberg Financial L.P., SSIM, as of 12/31/2025

18 Source: Bloomberg Financial L.P., SSIM, as of 02/27/2026

19 Source: Bloomberg Financial L.P., SSIM, as of 12/12/2025

## Glossary

**Central Bank:** A financial institution given privileged control over the production and distribution of money and credit for a nation or a group of nations.

**COMEX:** The main futures market for trading metals, including gold, silver, copper, and aluminum.

**Gold Spot Price:** The price in spot markets for gold. In US dollar terms, spot gold is referred to with the symbol "XAU," which refers to the price of one troy ounce of gold in USD terms.

**Real Rates:** The Interest rate after adjusting for inflation. It reflects the true cost of borrowing and the actual yield on investments by stripping out the effects of rising prices.

**RSI (Relative Strength Index):** A momentum indicator that measures the speed and magnitude of recent price changes on a scale from 0 to 100. Readings above 70 suggest overbought conditions, while readings below 30 suggest oversold conditions.

**Left Tail Hedge:** A portfolio position designed to protect against extreme negative market outcomes, such as equity market drawdowns, policy shocks, or currency instability. Gold is often considered a left tail hedge due to its historical performance during systematic stress events.

**Rolling 30-day volatility:** Measures the annualized standard deviation of an asset's daily returns over the preceding 30-day period, updated daily to show shifting risk. It quantifies how drastically a price moves, with higher values indicating greater risk.

**G10 FX implied volatility:** Represents the market's forward-looking expectation of the magnitude of future price fluctuations for G10 currency pairs (AUD, CAD, CHF, EUR, GBP, JPY, NOK, NZD, SEK, USD).

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